



Syllabus XMBA 202: Financial Accounting Fall 2026

Instructor: Veselina Dinova
Email: dinova@berkeley.edu

GSI: Vivek Khedkar
Email: vivek.khedkar@berkeley.edu

Office hours: email Veselina and Vivek to schedule a meeting at any time

Discussion: TBA each Block based on students' preferences

Course Objective

Financial accounting is concerned with the preparation and dissemination of financial reports designed to reflect corporate performance. By providing timely, relevant, and reliable information, these reports facilitate decision-making of investors, creditors, and other interested parties. Financial markets depend on the information contained in these reports to evaluate management, estimate future stock prices, assess firms' riskiness, and allocate society's resources to their most productive uses.

The main objectives of this course are (1) to provide an understanding (including the limitations) of accounting measurement and reporting, (2) to instill an appreciation for the factors determining accounting measurement and disclosure, (3) to develop skills to critically analyze and interpret accounting data, and (4) to provide a foundation for use of accounting data in management decisions.

By the end of the course, you should be able to understand where the numbers in financial statements come from, how they are calculated, and most importantly, how to use them to make decisions. The course requires no prior knowledge of accounting and is designed as such.

Course Format and Structure:

A combination of lectures, in-class exercises and mini-case studies will be used throughout the course. In-class discussions and other activities based on the recent financial statements of real companies are designed to enhance the learning of key accounting concepts and illustrate the uses and misuses of financial reports. As much as possible, current market news will be incorporated throughout the course.

The mechanics of preparing the financial statements will be covered to the extent necessary for understanding them, but will not be the primary focus. Instead, we take the user's, not preparer's, perspective in covering the material. Accounting is the language of business and our objective is to learn this language.

The course will be delivered in-person. All discussion sections will be remote via Zoom.

Attendance policy, recordings, office hours:

Attendance is required for all regular in-person classes. Attendance is optional for the discussion sections.

All regular classes and discussion sections will be recorded and the recordings will be in Media Library on bCourses shortly after the end of each class or section.

If you are unclear on a certain concept or if you would like to discuss anything else related to the course, you are encouraged to book office hours with Veselina or Vivek any time and as frequently as you need. Please email us to find a mutually convenient time for these meetings.

Course Website:

We will use bCourses for all course materials (lecture slides and exercises, summary notes, articles, discussion section materials, homework, practice problems and quizzes). We will also use bCourses for quizzes, exams and other communication.

Textbook and other course materials:

Financial Accounting by Libby, Libby and Hodge, 11th Edition, McGraw-Hill Education

Other course materials:

- Class slides – on bCourses prior to each class
- Summary notes – on bCourses prior to each class – the summary notes are a more detailed version of the class slides and are in a narrative format. Occasionally they may

also include a brief explanation of the in-class exercises and mini-case studies and suggestions on what to focus on when reviewing the class topics.

- Mini-case studies – we will be using a fictional company called Coffee Life to illustrate most class concepts. The mini-cases for Coffee Life will be on bCourses. The solutions will be on bCourses after each class discussion.
- Homework solutions – on bCourses (Assignments) after the homework's deadline
- Non-graded in-class assignment solutions – on bCourses on the page for each class
- Practice quizzes – on bCourses (Assignments) for most class topics to help you prepare for class and for the graded quizzes
- Other relevant articles and materials – on bCourses when applicable

Grading

The final course grade will be calculated as the higher of the following two options:

	Option A:	Option B:
Short take-home quizzes:	10%	0%
Final exam:	35%	45%
Homework:	10%	10%
Team presentation:	20%	20%
Class participation:	25%	25%

Short take-home quizzes

There will be three short take-home quizzes – calculation and conceptual multiple-choice questions. The quizzes are designed to ensure that you are learning the fundamentals and to help us identify any topics which require further explanation. They are individual, open-books and open-notes quizzes, administered on bCourses. The quizzes will be timed (10-15 minutes) and you can take them whenever you would like before the deadline which is the beginning of the next Block. There will be no make-up quizzes.

We also have practice quizzes on bCourses. These practice quizzes have no effect on your grade and it is encouraged that you practice with them to prepare. Vivek will review these, if requested, during his discussion sections.

Taking the quizzes can only help, never hurts.

Final Exam

The final exam will be a take-home exam administered on bCourses. The exam will include short questions and larger problems from all topics covered during the course. It is a 2.5-hour exam and you will be able to take it when you would like within a week after the last class. The exam will be an open-book, open-notes and open-Internet exam.

There is a sample exam posted on bCourses. You can try it as many times as you would like. The sample exam is the same in format and complexity as the final exam.

Once the final exams are graded, we will give you the chance to review your scores and communicate in case there are potential misunderstandings.

Team Presentations

The purpose of the team presentations is to apply the class concepts to relevant and current news and expand the learning experience beyond the examples covered in class.

Each team will choose an accounting topic to present to the class on the last day of the course. Examples of topics include revenue and cost recognition, earnings announcements and relations with stock valuation, questionable accounting policies, fraud, changes to the accounting rules and others. Sources for potential topics include articles in reputable business publications, TV and streaming shows, research papers and articles and similar outlets. Please choose your team's topic by the end of Block 3 and communicate your choice with Veselina. Once you select a topic, please populate it in the shared file online. The file includes a tab with suggested topics and ideas for inspiration. You do not need to select one of the topics on the list but if you like one – then choose it. Here is the file: [EMBA28 - teams and presentation topics](#)

Each presentation should be limited to 5 minutes with 5 minutes Q&A from the audience. A good presentation is informative and engaging. The audience will provide feedback on the quality of the presentations.

Homework

The best way to learn the fundamentals of the course material is by solving problems and this is the purpose of the homework assignments. Some of the questions are theoretical, some are an application of the theory.

The homework assignments are graded on satisfactory/unsatisfactory basis. They are individual assignments and you need to submit your own work but you are welcome to discuss them with your classmates.

The homework assignments will be posted on bCourses (Assignments) and the deadlines will be the end of the day before the start of Block classes. You can submit an electronic copy in word or in excel or a scanned copy of your handwriting. Please do not prepare hard copies. The solutions will be posted after the homework deadline and we will discuss them during the weekly discussion sections if requested. Contact Vivek if you need extra time for the homework.

Class Participation

You are expected to come to class prepared and actively contribute to the class discussions. The learning environment is greatly enriched by effective participation.

There will be various opportunities for everybody to participate - in class, on the Slack channel (posting relevant articles or news or responding to questions from your classmates) or during your study team meetings.

Developing strong communication skills is crucial in a world with ever improving technology. Today technology often completes most technical tasks, in accounting and in other areas, but a business professional interprets the outcomes, uses them for decision making and communicates with the relevant audiences.

Use of AI:

The use of AI (ChatGPT, Claude and similar tools) in this class is allowed and encouraged. Learning how to use AI is an important skill you will need after you graduate. The classroom environment is the best place to practice with these tools.

A few notes:

- Be mindful that AI occasionally results in incorrect or incomplete or imprecise statements and conclusions. As the users of these tools, you are responsible for the quality of the work AI prepares for you.
- Try to avoid developing overreliance and dependency on these tools. They are often excellent at providing summaries or explanations but ultimately the business professionals make the decisions and are responsible for the consequences.
- The objective of this class is to help the students develop a clear understanding of the fundamental concepts so that they can effectively assess the output from the quickly improving AI tools.
- It is important to develop the habit of acknowledging and disclosing the use of AI tools in your work.

Students with a need for accommodation: we respect the needs of all our students and strive to create a learning environment where everyone is able to be their best. Please make sure the DSP office notifies us for your needs promptly to allow us to address all requested accommodations.

Honor Code

As members of the UC-Berkeley community, our expectation is that you will adhere rigorously to the UC-Berkeley Honor Code. There is zero tolerance for any deviations from the Code.

Important deadlines: All assignment deadlines are posted on bCourses.

Class schedule

Block 1

Class 1, September 11

Topic: Course Introduction, Communicating and interpreting financial information, Key accounting assumptions and principles

Class 2, September 12

Topic: Balance sheet and Income statement fundamentals

Textbook: chapters 1-5

Quiz 1: take-home quiz, topics from Block 1, deadline: end of the day on Sept 30

Block 2

Class 3, October 1

Topic: Revenue recognition, Accounting for Accounts Receivable

Textbook: chapter 6

Class 4, October 2

Topic: Reporting of Cost of Goods Sold (COGS) and Inventory, Working Capital

Textbook: chapter 7

Class 5, October 3

Topic: Reporting and interpreting Tangible and Intangible assets

Textbook: chapter 8

Quiz 2: take-home quiz, topics from Block 2, deadline: end of the day on Oct 21

Block 3

Class 6, October 22

Topic: Reporting and interpreting Liabilities and Shareholders' equity

Textbook: chapters 9 and 10

Class 7, October 24

Topic: Cash flow statement introduction

Textbook: chapter 12

Quiz 3: take-home quiz, topics from Block 3, deadline: end of the day on November 11

Block 4

Class 8, November 12

Topic: Financial statement analysis, Stock valuation with relation to accounting data

Class 9, November 13

Topic: Various course wrap-up exercises, final exam review

Class 10, November 14

Topic: Team presentations

Final exam: take-home exam due approximately a week after the end of Block 4. You will be able to take the exam whenever you would like up to the deadline. We will provide sample exams, tutoring, office hours and additional review sessions to help you prepare. More details will be shared in class during Block 4.